

INTERNAL AUDIT REPORT

Procurement Compliance Audit | Report No. AR-02329

Report ID:	AR-02329
Audit Type:	Procurement Compliance Audit
Report Date:	October 07, 2024
Audit Period:	2023-12-15 to 2024-10-03
Lead Auditor:	Jacob Miranda (EMP-RM742)
Reviewed By:	Devin Johnson (EMP-29352)
Primary Vendor Reference:	ClearPath Logistics Holdings (VND-01790)
Subject Employee Reference:	Kristin Hernandez (EMP-32254)
Primary Transaction Reference:	TXN-C1670993182
Overall Risk Rating:	LOW

1. EXECUTIVE SUMMARY

This procurement compliance audit covered the period 2023-12-15 to 2024-10-03 and examined transactions, approvals, and compliance records associated with vendor ClearPath Logistics Holdings (VND-01790) and employee Kristin Hernandez (EMP-32254). The audit identified 3 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **LOW**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C1670993182 (amount 14,873.79 CAD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-003189	LOW	EXPIRED COMPLIANCE	Procurement team processed payment without checking compliance status. Certificate had been expired for 339 days.
FND-004446	CRITICAL	APPROVAL LIMIT	Transaction processed with approval from an officer whose delegated authority was 32% below the required threshold.

Finding ID	Severity	Category	Description
FND-001722	LOW	APPROVAL LIMIT	Escalation protocol was bypassed. Transaction valued at \$124,112 was approved at L2 without L4 countersignature.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-004613	AUDIT REPORT	EVD-NBB-1820	0.74
EVI-005409	AUDIT REPORT	EVD-NKD-1256	0.52
EVI-005834	CONTRACT RECORD	EVD-NBE-0318	0.82
EVI-008312	APPROVAL RECORD	EVD-JTR-9567	0.50
EVI-009297	COMPLIANCE RECORD	EVD-ROF-0659	0.60
EVI-012871	HR RECORD	EVD-ZFS-1402	0.81

5. RECOMMENDATIONS

- Strengthen segregation of duties between transaction initiation and approval functions.
- Require compliance certificate verification as a system gate prior to payment release.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.

6. MANAGEMENT RESPONSE

Management has already initiated corrective action; closure verification is scheduled for the next audit cycle.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Jacob Miranda	EMP-RM742	2024-10-07
Reviewing Officer	Devin Johnson	EMP-29352	2024-10-09